

never scaled up the business. Then, in November 2022, ICICI Bank veteran K.V. Kamath joined the RIL board as an independent director. Jio Financial Services Ltd was spun out from Reliance in July this year.

On July 8, a week after Jio Financial Services (JFS) was born, it announced that Ambani's

daughter Isha had joined its board. On August 21, at the listing ceremony of JFS, Kamath, now its Chairman, said, "It's possible to predict that within the next eight to nine years, our GDP could double, reaching around \$8 trillion. This presents a tremendous opportunity for India."

The \$118-billion group has the war chest, management bandwidth, group synergies, and the ability to attract top-notch talent—like it has for its senior management team from ICICI Bank, State Bank of India and BRICS-sponsored New Development Bank.

"They have an exceptional ability to see large business opportunities," says Nirav Shah, Managing Director (Investment Banking) at Equirus Capital. "Their knack for timing disruptions is impeccable. The execution from the ground up is outstanding."

Ambani explained the JFS gambit to shareholders at RIL's annual general meeting (AGM) on August 28. "JFS has been conceptualised to fill a critical gap in the financial services needs of a large section of the Indian economy, mainly in the informal and underserved sectors in rural, semi-urban, and urban areas," he said.

Typical of Ambani, JFS wants the lion's share of the fast-growing financial services market via organic and inorganic growth—grabbing products, geographies and licences. It has a modular framework with independent CEOs for each business. So Vinod Easwaran is the CEO of Reliance Payments Bank, and A.R. Ramesh heads Reliance Payment Solutions Ltd. (See box *The World of JFS*.)

RIL has had a history of ruffling the feathers of established players when it enters a sector. When it entered telecom with Jio in 2016, it bled the leaders with its low pricing. "Forget telecom or retail; when they started growing mangoes at the Jamnagar refinery complex, they quickly became Asia's largest mango exporter," says a banker. However, financial services are certainly not low-hanging fruit.



"The equity broking industry is undergoing rapid transformation. Discount brokerage firms have quickly scaled their operations, intensifying competition"

ARUN CHAUDHRY

Chief Business Officer, m.Stock (Mirae)



"AMCs... don't demand significant capital unless there's a strategy to heavily discount or offer low fees. It's a profitable business at scale"

TEJ SHAH

Portfolio Manager, Marcellus Investment Managers

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TO BE OR NOT TO BE

The case for, and against, JFS causing a disruption in the financial services sector

FOR

- War chest, AAA rating to allow it to get funds at a cheaper rate
- Management bandwidth, ability to attract top-notch talent
- Synergies with group companies, especially on the retail and telecom sides
- Ability to attract partners of repute from the global market

AGAINST

- BFSI is a highly regulated and leveraged business
- Competition hotting up with new players like Piramal, Poonawalla, Godrej and new-age players
- Unsecured lending is fraught with risks
- Size and scale of JFS to attract RBI's supervision for any systemic risk